How initial reputation changes the response to the same income shock
Lower patience · annual β = 0.85

Initial belief 10% · Initial belief 50% · Initial belief 90% · Markov reference

Initial debt: 41.9% of annual income

Initial debt: 44.2% of annual income

Initial debt: 47.0% of annual income

Δ net debt issuance (% of pre-shock income)

Δ spread (quarterly basis points)

Δ primary balance (% of pre-shock income)

Quarters after income shock

Same 3.36% income decline; 2,000 paired paths; mean changes from matched baselines.
Only the government's discount factor changes from the original calibration; equilibrium policies and prices are re-solved.
Flow responses use fixed pre-shock quarterly income; spreads are quarterly basis points. Positive primary balance means tightening.
Reputation government remains strategic; beliefs update.